

# Project Management

THE MANAGERIAL PROCESS



Clifford F. Gray

Eric W. Larson

Chapter 1

## Modern Project Management

# What is a Project?

- Project Defined

- A complex, nonroutine, one-time effort limited by time, budget, resources, and performance specifications designed to meet customer needs.

- Major Characteristics of a Project

- Has an established objective.
  - Has a defined life span with a beginning and an end.
  - Requires across-the-organizational participation.
  - Involves doing something never been done before.
  - Has specific time, cost, and performance requirements.

# Programs versus Projects

- Program Defined

- A series of coordinated, related, multiple projects that continue over an extended time and are intended to achieve a goal.
- A higher level group of projects targeted at a common goal.
- Example:
  - Project: completion of a required course in project management.
  - Program: completion of all courses required for a business major.

# Comparison of Routine Work with Projects

## **Routine, Repetitive Work**

Taking class notes

Daily entering sales receipts into the accounting ledger

Responding to a supply-chain request

Practicing scales on the piano

Routine manufacture of an Apple iPod

Attaching tags on a manufactured product

## **Projects**

Writing a term paper

Setting up a sales kiosk for a professional accounting meeting

Developing a supply-chain information system

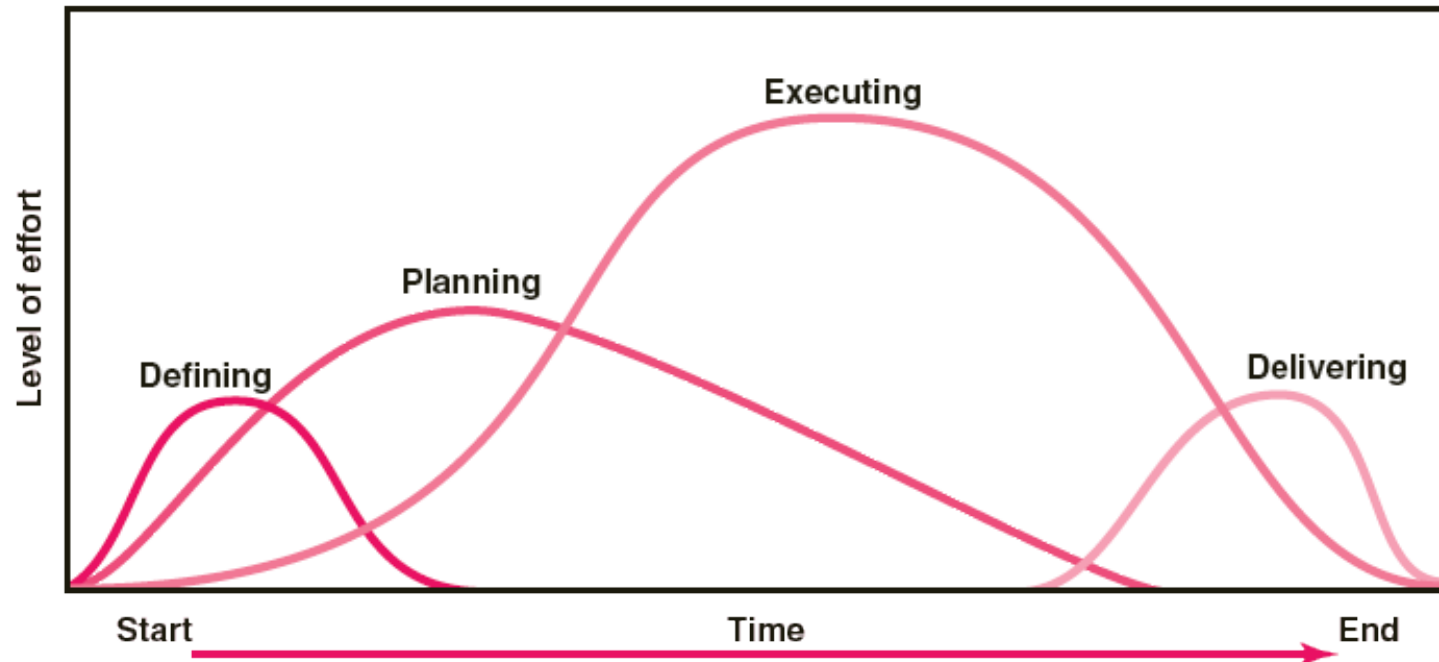
Writing a new piano piece

Designing an iPod that is approximately 2 X 4 inches, interfaces with PC, and stores 10,000 songs

Wire-tag projects for GE and Wal-Mart

**TABLE 1.1**

# Project Life Cycle



## Defining

1. Goals
2. Specifications
3. Tasks
4. Responsibilities

## Planning

1. Schedules
2. Budgets
3. Resources
4. Risks
5. Staffing

## Executing

1. Status reports
2. Changes
3. Quality
4. Forecasts

## Delivering

1. Train customer
2. Transfer documents
3. Release resources
4. Release staff
5. Lessons learned

FIGURE 1.1

# The Challenge of Project Management

- The Project Manager

- Manages temporary, non-repetitive activities and frequently acts independently of the formal organization.

- Marshals resources for the project.
    - Is linked directly to the customer interface.
    - Provides direction, coordination, and integration to the project team.
    - Is responsible for performance and success of the project.

- Must induce the right people at the right time to address the right issues and make the right decisions.

# The Importance of Project Management

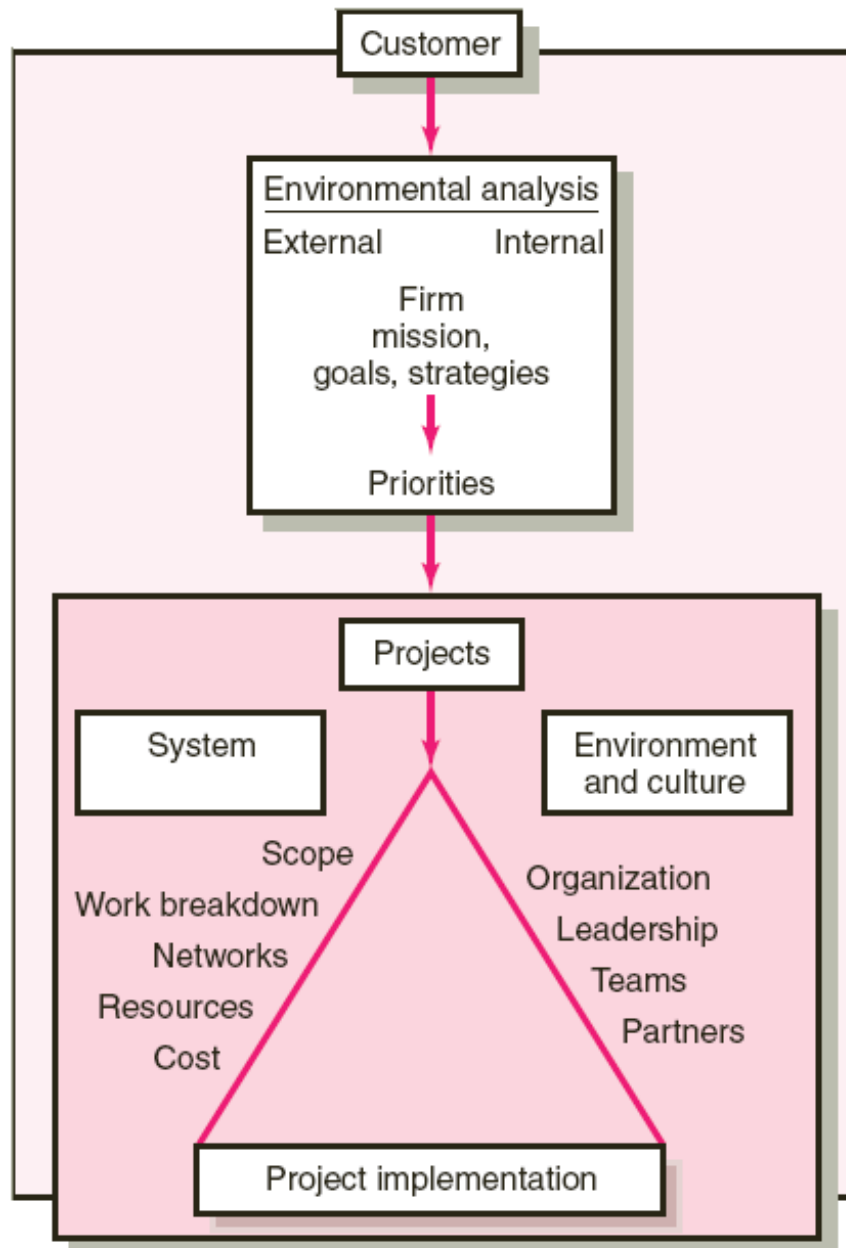
- Factors leading to the increased use of project management:
  - Compression of the product life cycle
  - Global competition
  - Knowledge explosion
  - Corporate downsizing
  - Increased customer focus
  - Rapid development of Third World and closed economies
  - Small projects that represent big problems



# Integrated Project Management Systems

- Problems resulting from the use of piecemeal project management systems:
  - Do not tie together the overall strategies of the firm.
  - Fail to prioritize selection of projects by their importance of their contribution to the firm.
  - Are not integrated throughout the project life cycle.
  - Do not match project planning and controls with organizational culture to make appropriate adjustments in support of project endeavors.





## Integrated Management of Projects

FIGURE 1.2

## The Technical and Sociocultural Dimensions of the Project Management Process

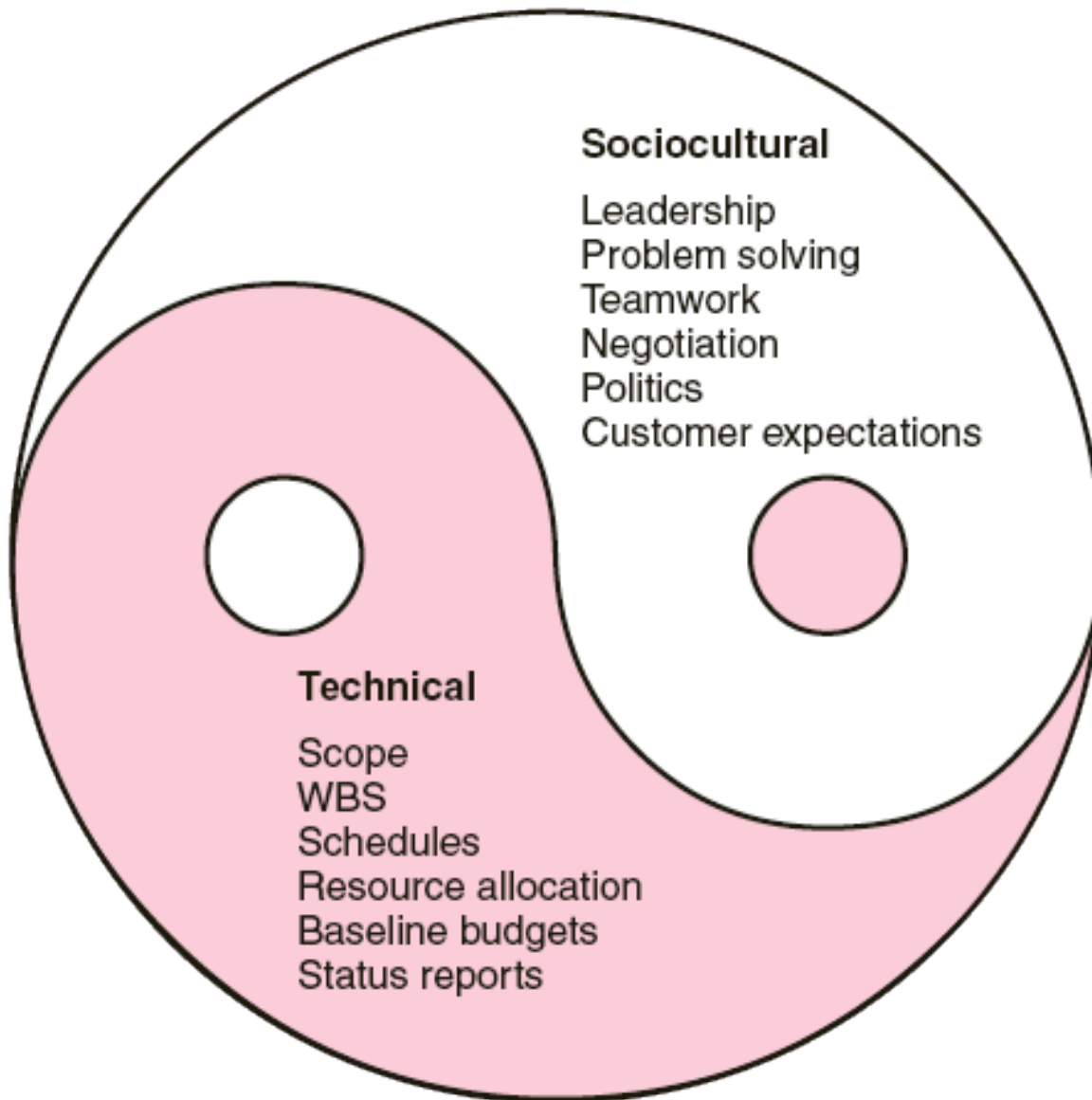
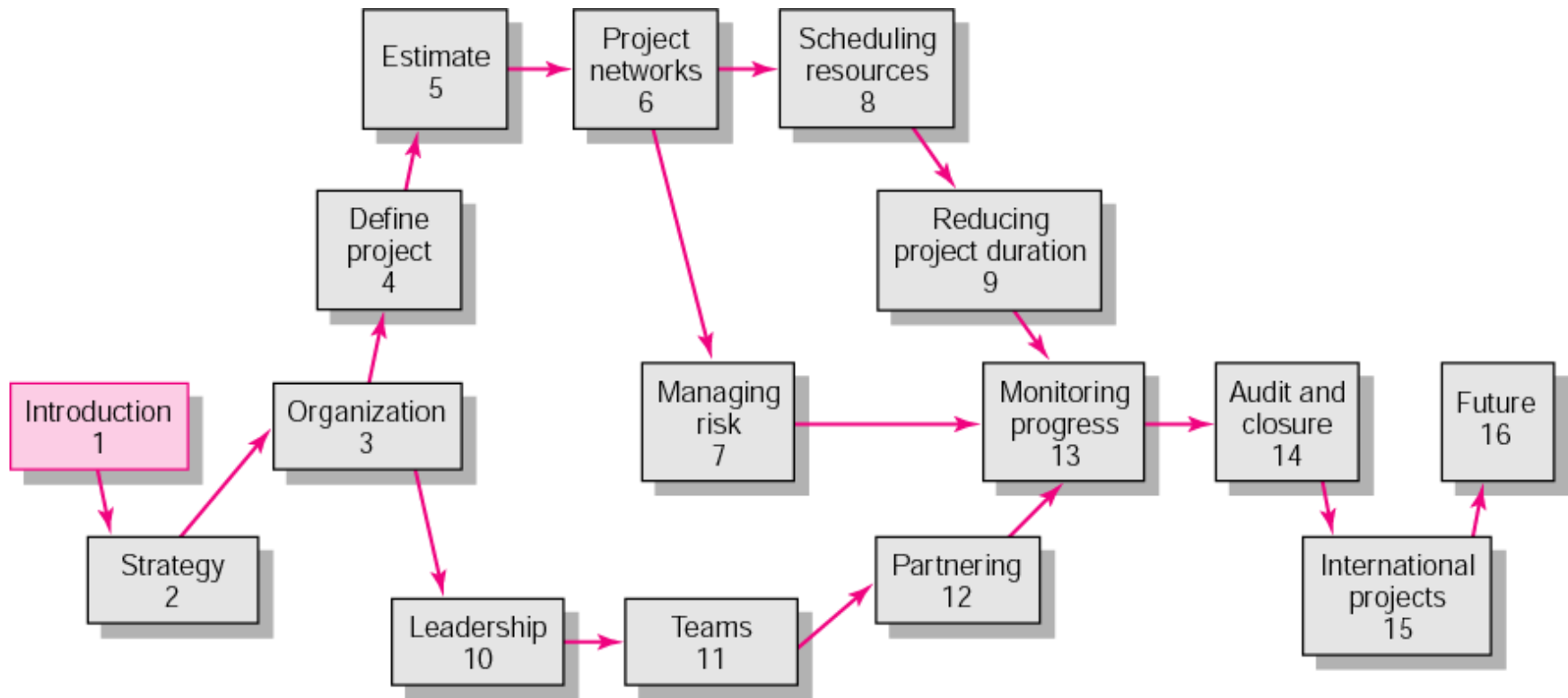


FIGURE 1.3

# An Overview of Project Management 3e.



# Key Terms

**Program**

**ISO 9000**

**Project**

**Project life cycle**

**Sociotechnical perspective**